



“By definition, corporation tax cuts benefit companies that earn profits, and not those that are not profitable”

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“The interest coverage ratio of the top 500 companies has improved over time and that is a better measure of India Inc’s health”

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tax rate for the companies that reported PBT above ₹500 crore was 18.85%, which was lower than the overall rate of 22.47%, and much below the 23.68% rate for companies that reported PBT up to ₹1 crore. Although effective tax rates have dipped across the board since the government reduced the corporate tax rate in 2019, the de-

crease was more pronounced for companies that reported higher PBT. The Budget documents define effective tax rate as “the ratio of total taxes (including surcharge and cess) to the total profits before taxes (PBT) and expressed as a percentage.”

This matters because the increase in profitability at the top

end has not resulted in a comparable increase in private investments. The Economic Survey for 2024-25, tabled along with the Union Budget on February 1 last year, had highlighted that though India Inc was sitting on record profits, wage growth in these companies had been sluggish. “Among Nifty 500 companies, the profit-to-GDP ratio surged from 2.1% in FY03 to 4.8% in FY24, the highest since FY08,” it said.

Surajit Mazumdar, Professor at the Centre for Economic Studies and Planning, Jawaharlal Nehru University, says that the health of corporate India depends on how it is defined. “If by India Inc we mean the biggest companies, then they are clearly doing well. But if you look at it as a whole, there are clear signs of distress,” he says.

Mazumdar says the Indian economy is witnessing a double concentration, where income is increasingly concentrated among the wealthy and corporate profits among a handful of firms, many of which also enjoy the lowest effective tax rates. “Measures to boost ease of doing business are not creating the conditions for a broad-based flowering of entrepreneurship,” Mazumdar says.

He identifies two distinct phases of distress. The first, beginning in FY13, reflected the delayed impact of the global financial crisis on India. The second, he says, began around FY19 because of demonetisation and the implementation of the goods and services tax (GST), which appears to have impacted smaller firms. These pressures were compounded by the Covid-19 pandemic and do not appear to have reversed.

THE EFFECTIVE TAX RATES HAVE BEEN MUCH LOWER FOR COMPANIES THAT REPORTED THE HIGHEST PBT AND HIGHER FOR THOSE THAT REPORTED THE LOWEST PBT